Income elasticity of demand (YED)

1.3.2.5 The market · Unit 1 · Mr. Akram — Akademy

YED measures how responsive demand is to a change in consumer income. It can be positive or negative.

YED = % change in quantity demanded ÷ % change in income

- **Normal good (YED positive)** — demand rises with income. YED > 1 = luxury (income elastic); 0 < YED < 1 = necessity (income inelastic).
- **Inferior good (YED negative)** — demand falls as income rises (e.g. own-label brands, bus travel).

Worked examples: iPads income +15% → demand +20%, YED +1.33 (luxury). Trainers +25%/+15% = +1.67 (normal). Bus travel –25%/+10% = –2.5 (inferior).

Why YED matters

- Luxury (high YED) firms boom in growth but suffer most in recession.
- Staple/inferior (low or negative YED) firms are more recession-proof.
- A balanced range across YED values keeps demand stable through the economic cycle.